> To make money in stocks you must have “the vision to see them, the courage to buy them and the patience to hold them.” According to Phelps, “patience is the rarest of the three.”

Martelli’s study, as the title suggests, looked at 10-baggers over the last 15 years. He screened from about 21,000 listed companies with a market cap of at least $100 million.

Out of this sample, he discovered 3,795 stocks (18 percent of the initial sample) that returned 10 times.

He found, as I have, that many were unpredictable. So he selected

“with a great degree of subjectivity” a sample of “100 more predictable multibagger stocks, which a rational and long-term-oriented investor had a ‘reasonable chance’ to identify, purchase and hold over the long term.”

It’s a good study. Some conclusions:

- There is no magic formula to find long-term multibaggers.
- A low entry price relative to the company’s long-term profit potential is critical.
- Small is beautiful: 68 percent of multibaggers in the selected sample were trading below a $300 million market cap at their low. (They were microcaps.)
- Great stocks often offer extensive periods during which to buy them.
- Patience is critical.

I’d add that many of his chosen stocks had top-management teams that made good capital decisions about how to invest company resources. There was often a large shareholder or an entrepreneurial founder involved.

These can overcome the growth hurdle.

One interesting example here is AutoZone. It was a 24-bagger in Martelli’s study despite registering ho-hum growth rates of 2–5 percent. Yet AutoZone bought back huge sums of stock, which powered earnings-per-share growth of 25 percent a year.

This is a topic we’ll tackle more in chapter 11.